AUSTRALIAN COMPETITION & CONSUMER COMMISSION

Our ref: **IM-72849**

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12 March 2025

Dear Interested Party

Re: ACCC seeking your views: NSC's proposed acquisition of Coregas

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on NSC (Australia) Pty Ltd (**NSC**)'s proposed acquisition of:

- Coregas Pty Ltd,
- Coregas NZ Limited and
- Blacksmith Jacks Pty Ltd,

  together, the **Proposed Acquisition**.

Coregas, Coregas NZ Limited and Blacksmith Jacks Pty Ltd (together, **Coregas**) are currently ultimately owned by Wesfarmers Limited.

NSC is the Australian subsidiary of Nippon Sanso Holdings Corporation (**Nippon Sanso**), a multinational industrial gas company which is part of the Mitsubishi Chemicals Group and the immediate parent company of Supagas Pty Limited (**Supagas**). The proposal will result in Nippon Sanso owning Coregas' operations in Australia as well as Supagas.

Coregas and Supagas (and their Australian subsidiaries) both produce, supply and distribute industrial, cryogenic, medical and speciality gases, and supply certain related services, consumables and equipment (e.g. cylinder filling services etc.). Both parties also supply and distribute liquid petroleum gas (**LPG**). Further details can be found in **Attachment A**.

The ACCC's investigation is focused on the impact of the Proposed Acquisition on competition in various potential markets. In particular, we are seeking your views on:

- how closely Coregas and Supagas compete in the production, supply and distribution of LPG, industrial, medical, helium, and specialty gases - in Australia, and in each State and Territory
- the availability of alternative suppliers of LPG, industrial, medical, helium, and specialty gases in Australia, and in each State and Territory
- the impact of the Proposed Acquisition on the price, service quality and/or access to LPG, industrial, medical, helium, and specialty gases, and

- whether customers would have competitive alternative suppliers for LPG, industrial, medical, helium, and specialty gases post the Proposed Acquisition.

Further issues you may wish to address are set out at **Attachment B**.

This matter is public, and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the Proposed Acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by 5pm on **26 March 2025** via email to mergers@accc.gov.au with the title: *Submission re: NSC – Coregas*. If you require more time to respond, please let us know.

If you would like to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at (ACCC mergers register).

Confidentiality of submissions

The ACCC will not publish submissions regarding the Proposed Acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our Informal Merger Review Process Guidelines contain more information on confidentiality.

Yours sincerely

Morag Bond
General Manager
Merger Investigations

Attachment A

The Proposed Acquisition

NSC proposes to acquire 100% of the shares of Coregas. NSC is a subsidiary of Nippon Sanso, which is the parent company of Supagas. Coregas and Supagas both produce, supply and distribute industrial, medical and specialty gases, and supply related services, consumables and equipment (e.g. cylinder filling services etc.). Both parties also supply and distribute LPG.

Coregas

Coregas is an Australian owned industrial gas company and subsidiary of Wesfarmers. Coregas produces, supplies and distributes a range of industrial, medical, helium, and specialty gases across Australia. Coregas currently operates a number of industrial gas production facilities in Australia including air separation units (**ASU**) in Port Kembla and Mackay, a hydrogen reformer in Port Kembla, a helium import and decant facility in Sydney, and cylinder filling facilities in most States and Territories.

Coregas also supplies and distributes LPG in various cylinder sizes across Australia, and welding consumables via its subsidiaries in Victoria and Queensland.

Supagas

Supagas is majority owned by Nippon Sanso, which is part of Mitsubishi Chemicals Group in Japan. Supagas is a producer and supplier of LPG, industrial, medical and specialty gases. Supagas currently operates a number of industrial gas production facilities in Australia including an ASU in Karratha and micro-ASUs in Victoria and Darwin, a carbon dioxide plant in Bomaderry, a helium import and decant facility in Sydney, and cylinder filling facilities in most States and Territories.

Attachment B

1. Please provide a brief description of your business or organisation. Include what gases you use, manufacture, or supply.
2. Please outline the reasons for your interest in the Proposed Acquisition, including any commercial relationship(s) with NSC, Supagas and/or Coregas. This will help us better understand your views.

Questions for producers, suppliers, distributors and customers of LPG

3. Please describe the nature and extent of competition between manufacturers, suppliers and distributors of LPG in Australia, and how easy it is to switch between various suppliers of LPG?
4. Who do you consider to be the main competitors of Supagas in the supply of LPG? Would the Proposed Acquisition significantly reduce the number of LPG suppliers in any particular regions?
5. Describe the nature of contracting arrangements for LPG supply. Do customers contract on a national, state, or some other basis? Do those arrangements vary according to the size of the customer?

Questions for all interested parties (including, producers, suppliers, distributors and customers) in relation to industrial, medical, helium, and specialty gases

Nature of competition in supply of industrial gases

6. Given each gas has unique properties and therefore, distinct usage, to what extent do customers switch between the different gases? Please provide examples.
7. To what extent do manufacturers, suppliers or distributors of industrial, medical and specialty gases and related products or services (e.g. welding consumables), including Supagas and Coregas compete on the basis of:
    - price, including specials, discounts and promotions
    - quality and range of goods, service quality
    - customer type or application
    - geographic location, and
    - reputation.
8. Identify and describe the main competitors of Supagas and Coregas in the supply of industrial, medical, helium, and speciality gases. Describe whether the state of competition differs on a state, regional, or some other basis.

Potential impact of the transaction

9. Following the Proposed Acquisition, would the combined entity have the likely ability to increase prices or reduce supply of industrial, medical, helium, or specialty gases, or any individual gases (e.g. nitrogen, helium, argon etc.)?

10. To what extent are manufacturers/suppliers of industrial, medical, helium, and specialty gases vertically integrated (e.g. in production, supply, distribution, retail, and related services)? Does vertical integration offer any significant advantages to suppliers? Please outline how you understand these vertical arrangements generally work.

11. What barriers would new entrants need to overcome to begin supplying industrial, medical, and specialty gases? For example, are there significant sunk costs, regulatory requirements, or challenges related to customer switching to new entrants? Please identify any new entrants into, or exits from, the markets in which Supagas and Coregas compete over the last 5 years.

Questions for producers, suppliers or distributors of industrial, medical, helium, and speciality gases

12. We understand atmospheric gases (nitrogen, argon, oxygen) can be produced together in an ASU. To what extent can other industrial, medical, and speciality gases (e.g., hydrogen, carbon dioxide, nitrogen oxide, acetylene, neon etc.), be produced together, or are separate facilities required? Please comment on how easy or difficult it is for manufacturing facilities to switch between producing different gases.

13. Regarding the gases you produce or supply (listed in response to question 1):

    a. do you supply them individually or jointly/in a bundle?

    b. which distribution method do you use to deliver them (tonnage, bulk, microbulk or cylinders)? How easy is it to switch between distribution methods (for e.g. from bulk to microbulk)? For each of the categories of tonnage, bulk, microbulk, and cylinders customers: please provide the number of customers and volume of gases supplied.

14. Which factors determine the geographic scope of competition for the supply of, industrial, medical, helium, and specialty gases? Please address the following:

    a. how far can you supply or distribute certain gases from a production facility? What infrastructure do you need to service customers over a wide geographic area?

    b. are there any limitations on transportation of these gases (e.g. an inability to transport gases beyond a certain distance etc.) Do those geographic limits differ between distribution channels?

Questions for customers of industrial, medical, helium, and speciality gases

15. For the list of gases you use or purchase (listed in response to question 1):

    a. do you purchase them individually or jointly/in a bundle?

    b. from whom do you purchase them and how much (volume and price)?

    c. how are these gases delivered to you (tonnage, bulk, microbulk or cylinders)? How easy is to switch to another distribution method?

d. Post acquisition, if the combined entity were to increase the price of gas or degrade the terms of its supply offer, would you be able to readily switch to another supplier? If yes, which suppliers? If not, please describe any limitations that may deter you from switching (e.g., brand, price, reliability, delivery options, customer service, geographic location, delivery time).

Other information and competition issues

16. Provide any additional information or comments that you consider relevant to the ACCC's consideration of the Proposed Acquisition.